Comparative Analysis of Housing Policy

Why does every single person around me say housing sucks?

A finished housing development project, across the street from a stripped down single family home about to be torn down and developed. This area (5 minutes from my house) was rezoned a year ago, allowing duplexes and townhouses to be built in place of almost all single family homes.

The first question I think that's on the mind of almost all people I know under 40 who aren't living with their parents is; What's going on with housing? Why does housing feel like it costs so much more? And most importantly, from a political policy lens, what can we do about it?

Intro; The What

The problem that can describe the vast majority of housing situations in the North American (or the vibe based feelings of gen Z) real estate market is the increasing lack of starter homes, affordable rent in high-employment and high-earning areas, which gates starting earners out of a geographical economic opportunity zone, as well as increasing pressures with an increasing population and a plateaued level of supply construction.

It would be a tall order to attempt to model the North American real estate market, but since this is not a unique problem to Calgary, Alberta, Canada, or even North America; I can use a recent set of decisions made within the last couple of years by the City Council of Calgary, responsible for zoning decisions on a scale of 1.4 million people (the population of Calgary), who have attempted to solve the lack of affordable housing models by rezoning large swaths of single-family home idings into duplexes, townhouses, and multi-family rental properties.

Calgary, although unique in that it has seen a relatively high increase in population, is stretching its infrastructure on multiple levels. Thus, city planners have had to make relatively radical decisions. Radical, according to the typical [North American, car-based, single-family home] city planning history spanning at least the last five decades. I have a paper about this,[1], and why moving away from car-based infrastructure is so hard, and how historical urban design cogs keep cities trapped.

⊕ The YIMBY theory suggests that increasing housing supply through rezoning, allowing development, and funding new construction, rather than controlling current housing, can alleviate concerns about housing. I want to investigate several things as a result of these decisions.

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What questions should this project attempt to answer?

What changes were made, with what rationale, and what was the expected outcome?

Did the policy achieve the intended effect on housing? To what degree?

If new housing has been constructed, is that housing within the class of affordable housing?

And a fun one, the main cited casualty of expanding housing supply through rezoning is the loss of community. Using the City of Calgary surveys, did this happen and to what degree? What correlation is there between the decisions made and the differences seen in the surveys over the years due to these decisions?

What data do I need?

1. First off I need to know the actual changes, what happened? I need policy analysis of the decisions made to determine the;decisions made, rationale given, expected outcomes. Given to the city/the public by the council

2. Longitudinal average housing prices/rent per community. Scaling heavily towards communities with easy access to high-income earning working areas. My rationale for the scaling of the weight is that new cheap housing can always be found, North Dakota/Yellowhorse/developing projects around a city, the yet-to-be-developed infrastructure will always result in cheap housing costs but the rationale given as well as the areas targeted, were specifically designed to lower costs and restrictions on smaller, denser and more urban (connected to infrastructure) projects.

3. Delta of the changes and results; an accounting of changes per severity of modifications made by the city of council to the changes in 2.

3.1 It would be prudent to check for confounding variables; the budget allocated towards new housing projects, alongside possible federal and provincial incentives, could heavily skew the data from a zoning policy perspective. It's very unkind of the government to spend money alongside policy changes, such that my data becomes unclean.I could attempt to mitigate this by seeing what incentives were made, if the changes were federal, then comparing multiple similar Canadian cities of this level (1.3~ million + similar infrastructure situation) could help, unless these cities have also begun to change local policy, I don't need to do a deep dive of data into them I can just check their respective city council decisions and recent city planning decisions. If it were a provincial incentive, a very similar city to Calgary exists: Edmonton. Leveraging baseline Canadian cities of this level, along with the changes in Edmonton, could help alleviate some of the exogenous incentive structures impacting the data analysis, if any exist.

4. Community feeling surveys, which should be weighted more heavily towards longitudinal surveys done over the years, as opposed to one-off surveys of changesI live in one of these areas with tons of development. I can run a small study by talking to people on the street, using a combination of small qualitative interviews and quantitative scoring. This allows you to match the answers people give with their scores and identify those trends. This is a much softer factor and could change depending on who was surveyed and the methodology used by the survey researchers. Having a longitudinal linkage of surveys done by the same team, with the same methods and questions, year after year, would be much more valuable and less confounding for seeing trends, as opposed to semi-reaction-based one-off surveys.

5. Then, outside of the conclusions this data analysis provides on a direct local level, I want to ask broader, less data-intensive questions. Assuming the trends I have identified are generalizable to a US + Canada-based real estate market of mid-level, higher-growth cities. (maybe, maybe not), can we determine anything from a longitudinal review? Was it always just like this? And did other generations just deal with it? Should Gen Z (me) reduce our expectations of housing to reality?

Data Sourcing/Methodology

Question Trying to be Answered				
Policy Changes	Average Housing Prices/Rent Per Community	Confounding Variables	Community Feelings	Amount of New Buildings Built
Land Use Bylaw From City of Calgary href=Calgary Planning ComissionLand Use Bylaw From City of Calgary Calgary's Housing Strategy 2024 - 2030	City of Calgary - Housing TrendsAnalyzed Housing Data - EdmontonAnalyzed Housing Data - Calgary	Federal Finance Changes to Housing in 2024	2024 fall/2024 spring survey resultsCommunity Crime StatisticsCommunity Disorder Statistics	City of Calgary - Building PermitsBuilders Report - Multi Family - City Summary

I really wanted a total collection of current housing listings and sort through them, but it was actually very hard to find and after some searching, several MLS (data sources for housing prices mostly in use by realtors) are either obsenely expensive for individual use or are exclusively available to realtors. I will likely use their analysis and average data for housing prices, I assume it is accurate according to their listings and there isn't an incentive for them to skew averages.

Community surveys are done year after year, but unfortunately, it's supposed to happen next fall (in 4 months), so I can use the 2024 Fall result and compare them to the Spring as the rezoning changes happened in May. But I will remind myself to come back to this when in the fall. Trying to neatly and cleanly map = (City with lots of change) vs (City with no change) in the same geographic area/province. A decent amount of changes happened in the city. I was hoping everything would stay the same for the last couple of years; in Edmonton, the City of Edmonton did something similar to the City of Calgary a year before; it allowed homes and apartment buildings city-wide; this is going to be really diffucult to try and map onto another model city and just assume that most variables are solid since comparing one blanket rezoning to another geographical and provinicial blanket rezoning is bound to have lots of issues.

I am left with trying to find a significant North American city close enough to Calgary and repeat the process of checking, or I succumb to the longitudinal in-group analysis of a city and settle on managing confounding factors one by one as they come up in other cities in Canada. First up, I can get an analysis that reflects the delta in all housing markets in North America, then Canada, then Alberta; this can give me a very rough estimate of general external factors and name certain specific economic/political trends + federal + provincial changes I can almost begin to separate the effects that local zoning changes had out of the stew of the continental housing market economy. After a cursory glance and finding a particularly striking article by a finance professor in Macleans (on or in?, in a newspaper, but on a website, I am gen Z; what's a newspaper?), there have been some relatively significant federal financial changes that came in the new 2025 year, notable an extension of maximum time to repay a mortgage from 25 to 30 years, as well as lowering the downpayment required, this is a huge incentivization to new buyers of homes which is likely to increase housing costs without a similar uptick in supply. On top of that, the federal government launched a special tax-free investment fund for a first-time home, as well as enabling the use of upwards of 60,000$ from a retirement fund for one. On top of that non-linear funding was injected into home repairs and home construction from the National Housing Strategy into Calgary.

The Canada Mortgage and Housing Corporation has the data I need for new construction, new listed rental units on the secondary rental market, alongside average rent and the number of completions across Canada, alongside value of property. My goal here for data collection is to collect before/after August 6, 2024 since thats when citywide rezoning took effect.

After the first prelimanry glance at data, it seems as if new construction has propped up as a result of the change and the exact same type of construction that is